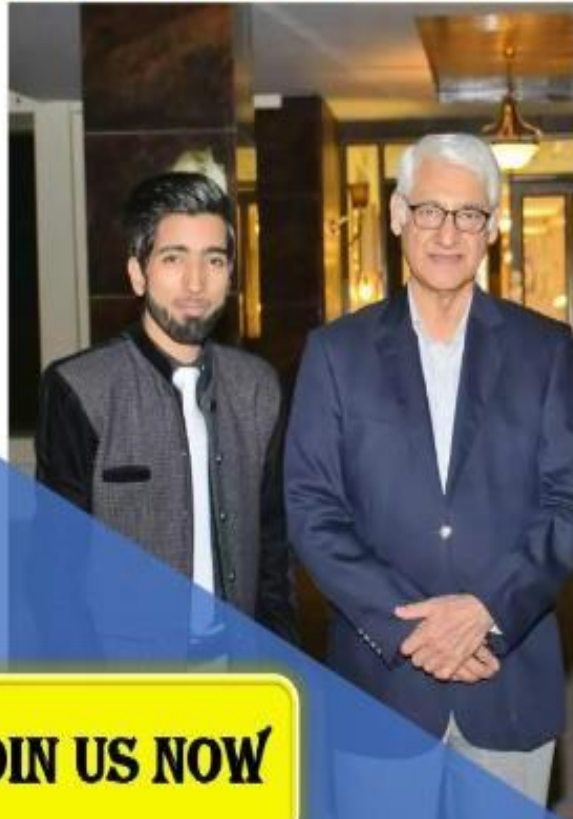


Mgt-603 Important Mid Term
Mcq's Solution 100% Correct :
Solve By Vu-Topper RM!!

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Question No:1 (Marks:1) **Vu-Topper RM**

A firm's concern for employees in a mission addresses the question, "Is the firm responsive to social, community, and environmental concerns?"

➤ **True**

➤ False

Question No:2 (Marks:1) **Vu-Topper RM**

According to Peter Drucker, developing a clear business vision and mission is the first responsibility of strategists.

➤ **True**

➤ False

Question No:3 (Marks:1) **Vu-Topper RM**

Environmental changes should not change a mission statement.

➤ **False**

➤ True

Question No:4 (Marks:1) **Vu-Topper RM**

A well-conceived mission statement is the cornerstone of effective strategic management.

➤ **True**

➤ False

Question No:5 (Marks:1) **Vu-Topper RM**

The vision and mission statement can often be found

➤ in the SEC report.

➤ **in annual reports.**

Question No:6 (Marks:1) **Vu-Topper RM**

According to recent studies, what percent of companies have used a mission statement sometime in the past five years?

➤ 75%

➤ **90%**

Question No:7 (Marks:1) **Vu-Topper RM**

Which of these basic questions should a vision statement answer?

➤ **What do we want to become?**

➤ Who are our competitors?

Question No:8 (Marks:1) **Vu-Topper RM**

Which statement should be created first and foremost?

➤ Strategic

➤ **Vision**

Question No:9 (Marks:1) **Vu-Topper RM**

The ideal length of a vision statement is:

➤ **one sentence.**

➤ as long as necessary to convey the message.

Question No:10 (Marks:1) **Vu-Topper RM**

Who is referred to as “the father of modern management?”

- **Drucker**
- McGinnis

Question No:11 (Marks:1) Vu-Topper RM

What is the first step in the comprehensive strategic-management model?

- **Developing vision and mission statements**
- Performing external audits

Question No:12 (Marks:1) Vu-Topper RM

According to the comprehensive strategic-management model, which step needs to be completed immediately following the establishment of long-term objectives?

- **Generating, evaluating, and selecting strategies**
- Measuring and evaluating performance

Question No:13 (Marks:1) Vu-Topper RM

The purpose of a mission statement is to declare all of these except:

- a reason for being.
- **an annual financial plan.**

Question No:14 (Marks:1) Vu-Topper RM

As indicated in the strategic-management model, a clear _____ is needed before alternate strategies can be formulated and implemented.

- **mission statement**
- evaluation strategy

Question No:15 (Marks:1) Vu-Topper RM

A mission statement is sometimes called all of the following except:

- **a statement of intent.**
- a statement of purpose.

Question No:16 (Marks:1) Vu-Topper RM

A businesses mission is the foundation for all of the following except:

- **employee wage rates.**
- work assignments.

Question No:17 (Marks:1) Vu-Topper RM

The mission statement answers which question?

- **What is our business?**
- How can we improve ourselves?

Question No:18 (Marks:1) Vu-Topper RM

The vision statement answers which question?

- How can we improve ourselves?
- **What do we want to become?**

Question No:19 (Marks:1) Vu-Topper RM

In the process of developing a mission statement, it is important to involve

- as few managers as possible.
- **as many managers as possible.**

Question No:20 (Marks:1) Vu-Topper RM

The process of developing a vision and mission statement includes which of these as the first activity?

- A request to modify the current document
- **Ask managers to read selected articles about mission statements.**

Question No:21 (Marks:1) Vu-Topper RM

After a draft mission statement has been developed, it is important to:

- ask managers to seek support for the mission statement from their subordinates.
- **provide a request for modifications, additions and deletions to the mission statement.**

Question No:22 (Marks:1) Vu-Topper RM

What can be used to promote unbiased views and to manage the development of the mission statement more effectively?

- surveys
- **a facilitator**

Question No:23 (Marks:1) Vu-Topper RM

According to Campbell and Yeung, what is/are most likely associated with behavior and the present.

- **Mission**
- Values

Question No:24 (Marks:1) Vu-Topper RM

A study by Rarick and Vitton found that firms with a formalized mission statement have the average return on shareholders' equity compared to those firms without a formalized mission statement.

- half
- **twice**

Question No:25 (Marks:1) Vu-Topper RM

Business Week reports that firms using mission statements have _____ percent higher return on certain financial measures than those without such statements.

- **30**
- 57

Question No:26 (Marks:1) Vu-Topper RM

King and Cleland recommend organizations carefully develop a written mission statement for all of the following reasons except:

- **to ensure a command-and-control structure.**
- to facilitate the translation of objectives into a work structure involving the assignment of tasks to responsible elements within the organization.

Question No:27 (Marks:1) Vu-Topper RM

What is the best time to develop a mission statement?

- before a business is opened
- **when the firm is successful**

Question No:28 (Marks:1) Vu-Topper RM

What is likely to happen if a mission or vision statement is implemented during troubled times for a firm?

- **The firm will experience a reverse in the decline of profitability.**
- No change

Question No:29 (Marks:1) Vu-Topper RM

Which group would be classified as a stakeholder?

- **Communities,banks,supplier,employees**

Question No:30 (Marks:1) Vu-Topper RM

All stakeholders:

- **have claims and concerns about an organization, but these claims and concerns vary.**
- have the same claims and concerns about an organization.

Question No:31 (Marks:1) Vu-Topper RM

The three characteristics of a mission statement are a declaration of attitude, a declaration of social policy and:

- an employee orientation.
- **a customer orientation.**

Question No:32 (Marks:1) Vu-Topper RM

The potential for creative growth for the organization can be limited by

- **a mission statement that is too specific.**
- a mission statement that is too dynamic.

Question No:33 (Marks:1) Vu-Topper RM

A proactive environmental policy is likely to lead to:

- higher cleanup costs
- **conservation of energy**

Question No:34 (Marks:1) Vu-Topper RM

The general public is especially interested in , whereas stockholders are more interested in .

- profitability; social responsibility
- **social responsibility; profitability**

Question No:35 (Marks:1) Vu-Topper RM

In developing a mission statement, arousing emotion

- **is important.**

➤ should be avoided if possible.

Question No:36 (Marks:1) Vu-Topper RM

According to McGinnis, a mission statement should be all of the following except:

➤ **it should be specific enough to control creative growth.**

➤ it should be stated in clear terms.

Question No:37 (Marks:1) Vu-Topper RM

An effective mission statement is all of the following except:

➤ **It is static in orientation.**

➤ It should include options that are considered less promising.

Question No:38 (Marks:1) Vu-Topper RM

Good mission statements identify the _____ of a firm's products to its customers.

➤ **utility**

➤ price

Question No:39 (Marks:1) Vu-Topper RM

Which of these examples of a mission statement's focus area is not effective?

➤ AT&T focuses on communication rather than telephones.

➤ **Exxon/Mobil focuses on oil and gas rather than energy.**

Question No:40 (Marks:1) Vu-Topper RM

Which European country has the highest growth rate in consumer purchases over the internet?

➤ **Greece**

➤ Ireland

Question No:41 (Marks:1) Vu-Topper RM

The largest category for online sales in the United States is:

➤ books

➤ **travel**

Question No:42 (Marks:1) Vu-Topper RM

Corporate social policy should be designed and articulated during which phase of strategy development?

➤ **implementation**

➤ **formulation**

Question No:43 (Marks:1) Vu-Topper RM

The corporate social policy should be reaffirmed or changed during which phase of strategy development?

➤ **strategy evaluation**

➤ strategy control

Question No:44 (Marks:1) Vu-Topper RM

In 2005, which of the following companies was rated highest for social responsibility?

➤ **Fannie Mae**

➤ Green Mountain Coffee Roasters

Question No:45 (Marks:1) Vu-Topper RM

In regard to its elderly workforce, Japan varies from the United States in that:

- A smaller percentage of Japan's senior citizens work
- **Japan does not have laws banning discrimination based on age**

Question No:46 (Marks:1) Vu-Topper RM

Effective mission statements can vary in

- specificity
- **all of the above**

Question No:47 (Marks:1) Vu-Topper RM

Which component of a mission statement addresses the firm's distinctive competence or major competitive advantage?

- Customers
- **Self-concept**

Question No:48 (Marks:1) Vu-Topper RM

Which component of a mission statement addresses the basic beliefs, values, aspirations, and ethical priorities of the firm?

- Technology
- **Philosophy**

Question No:49 (Marks:1) Vu-Topper RM

Which question(s) are answered in an effective mission statement?

- Who are the firm's customers?
- **All of the above**

Question No:50 (Marks:1) Vu-Topper RM

Which of the following dimensions are not recommended aspects of a mission statement?

- **Strategies**
- Self-concept

Question No:51 (Marks:1) Vu-Topper RM

Effective mission statements

- become ineffective in the first year.
- **stand the test of time and require little revision.**

Question No:52 (Marks:1) Vu-Topper RM

Strategies that are designed to appeal customers with a special sensitivity for a particular product attribute are dependent on which of the following?

Select correct option:

- Focus strategy
- **Differentiation strategy**

Question No:53 (Marks:1) Vu-Topper RM

Which of the following is a limitation of financial budgets?

Select correct option:

- **Financial budgets can become a substitute for objectives**
- Budgets reveal inefficiencies if based solely on precedent

Question No:54 (Marks:1) Vu-Topper RM

Which of the following is NOT an advantage of a functional structure?

Select correct option:

- **Excellent communication and coordination**
- Quick access to technical expertise

Question No:55 (Marks:1) Vu-Topper RM

How many parts are there of resource allocation plan?

Select correct option:

- **Two**
- Three

Question No:56 (Marks:1) Vu-Topper RM

Which of these is not a correct step in product positioning?

Select correct option:

- Plot major competitors' products or services in the resultant matrix
- **Compare competitor's and company's products or services on resultant matrix**

Question No:57 (Marks:1) Vu-Topper RM

In the SPACE analysis, what does (-1, -5) strategy profile portray?

- **A highly competitive firm operating in an unstable environment**
- A highly competitive firm operating in a weak industry

Question No:58 (Marks:1) Vu-Topper RM

In the SPACE analysis, what does (+6, +3) strategy profile portray?

Select correct option:

- **A strong industry with strong financial strength**
- A stable environment with strong financial strength

Question No:59 (Marks:1) Vu-Topper RM

The SPACE matrix of XYZ company shows that the coordinates of its directional vector are (-5, -5). What strategy would you recommend for the ABC Company?

Select correct option:

- **Concentric diversification**
- Market development

Question No:60 (Marks:1) Vu-Topper RM

Exclusive access to high grade natural resources is an example of which of the following?

Select correct option:

- **Strength**
- Weakness

Question No:61**(Marks:1)****Vu-Topper RM**

Firms in quadrant-IV of grand strategy matrix have which of the following characteristics?

Select correct option:

➤ **slow market growth and strong competitive position**

➤ Slow market growth and weak competitive position

Question No:62**(Marks:1)****Vu-Topper RM**

All of the following are used as a base for market segmentation EXCEPT:

Select correct option:

➤ **Socioeconomic**

➤ Geographic

Question No:63**(Marks:1)****Vu-Topper RM**

Majority of the businesses follow which of the following organizational structure?

Select correct option:

➤ **Functional structure**

➤ Strategic business unit

Question No:64**(Marks:1)****Vu-Topper RM**

the SPACE analysis, what does (+6, +3) strategy profile portray?

Select correct option:

➤ **A strong industry with strong financial strength**

➤ A stable environment with strong financial strength

Question No:65**(Marks:1)****Vu-Topper RM**

Strategy formulation stage includes all of the following EXCEPT:

Select correct option:

➤ **Annual objectives**

➤ Opportunities and threats

Question No:66**(Marks:1)****Vu-Topper RM**

The SPACE matrix of XYZ company shows that the coordinates of its directional vector are (-5, -5). What strategy would you recommend for the ABC Company?

Select correct option:

➤ **Concentric diversification**

➤ Joint venture

Question No:67 (Marks:1) **Vu-Topper RM**

All of the following are the indicators of industry strength for an organization EXCEPT:

Select correct option:

➤ **Control over suppliers**

➤ Geographic and product freedom

Question No:68 (Marks:1) **Vu-Topper RM**

What strategies are appropriate for the divisions that fall in grow and build region of IE matrix?

Select correct option:

➤ **intensive and integrative strategies**

➤ Defensive and integrative strategies

Question No:69 (Marks:1) **Vu-Topper RM**

Which of the following factors can predict the stability or non-stability of the environment, the firm is operating in?

Select correct option:

➤ **Rate of inflation**

➤ Ease of exit from market

Question No:70 (Marks:1) **Vu-Topper RM**

The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:

Select correct option:

➤ **CPM Matrix**

➤ Space Matrix

Question No:71 (Marks:1) **Vu-Topper RM**

All of the following situations are conducive to market development EXCEPT:

Select correct option:

➤ **when new untapped or unsaturated markets exist**

➤ When new untapped or unsaturated markets exist

Question No:72 (Marks:1) **Vu-Topper RM**

Selling all of a company's assets in parts for their tangible worth is known as:

Select correct option:

➤ **Liquidation**

➤ Integration

Question No:73 (Marks:1) **Vu-Topper RM**

Which one of the following is NOT a SMART criterion? Select correct option:

➤ Measurable

➤ **Strategy**

Question No:74 (Marks:1) **Vu-Topper RM**

Which of the following is NOT a SPACE Matrix quadrant?

Select correct option:

➤ **Offensive**

➤ Competitive

Question No:75 (Marks:1) **Vu-Topper RM**

The IE Matrix consists of how many cells?

Select correct option:

➤ **Nine**

➤ Ten

Question No:76 (Marks:1) **Vu-Topper RM**

Majority of the businesses follow which of the following organizational structure?

Select correct option:

➤ **Functional structure**

➤ Strategic business unit

Question No:77 (Marks:1) **Vu-Topper RM**

Marketing decisions generally fall into four controllable categories. Which one of the following is NOT one of marketing decisions category?

Select correct option:

➤ **Process**

➤ Product

Question No:78 (Marks:1) **Vu-Topper RM**

Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

➤ **Market development**

➤ Market penetration

Question No:79 (Marks:1) **Vu-Topper RM**

Which of the following was NOT included in Borden's marketing mix?

Select correct option:

➤ **Styling**

➤ Physical handling

Question No:80 (Marks:1) **Vu-Topper RM**

Product development involves going in the direction of which one of the following?

Select correct option:

➤ **New products to present markets**

➤ New products to new markets

Question No:81 (Marks:1) **Vu-Topper RM**

The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:

Select correct option:

➤ **CPM Matrix**

➤ Space Matrix

Question No:82 (Marks:1) Vu-Topper RM

Defensive strategies include all of the following EXCEPT:

Select correct option:

➤ **Acquisition**

➤ Retrenchment

Question No:83 (Marks:1) Vu-Topper RM

Which one of the following is NOT a SMART criterion?

Select correct option:

➤ **Strategy**

➤ Measurable

Question No:84 (Marks:1) Vu-Topper RM

Which of the following is the last step in the development of QSPM?

Select correct option:

➤ **Compute the sum total attractive score**

➤ Assigning weights to each key external and internal factor

Question No:85 (Marks:1) Vu-Topper RM

Which of the following categories of ratios includes return on total assets and return on stockholders' equity as its types?

Select correct option:

➤ Leverage

➤ **Profitability**

Question No:86 (Marks:1) Vu-Topper RM

Which of the following refers to Kanban?

Select correct option:

➤ Process

➤ **Signals**

Question No:87 (Marks:1) Vu-Topper RM

Which of the following are two positive-rated dimensions on SPACE Matrix?

The total weighted score of IFE matrix developed for XYZ corporation is 3.5. Which of the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?

Select correct option

➤ Corporation has weak external position

➤ **Corporation has strong internal position**

Question No:89 (Marks:1) Vu-Topper RM

What kind of strategy retrenchment is?

Select correct option:

- An expansion strategy
- **A organization strategy**

Question No:90

(Marks:1)

Vu-Topper RM

Which pay strategy is not a form of incentive compensation?

Select correct option:

- Bonus
- **Hourly wage**

Question No:91

(Marks:1)

Vu-Topper RM

What is the last stage of three-stage strategy formulation framework?

Select correct option:

- Formulation
- **Decision**
- Matching

Question No:92

(Marks:1)

Vu-Topper RM

Which analytical tool consists of a nine-cell matrix?

Select correct option:

- Grand Strategy Matrix
- **Internal-External Matrix**

Question No:93

(Marks:1)

Vu-Topper RM

Which of the following term represents the enduring statement of purpose that distinguish one business from other similar firms?

Select correct option:

- **Mission**
- Tactics

Question No:94

(Marks:1)

Vu-Topper RM

Which of the following marketing entity is NOT an intermediary?

Select correct option:

- **Producer**
- Vendors

Question No:95

(Marks:1)

Vu-Topper RM

Which of the following refers to the belief related to objectives setting that "there is no general plan for which way to go and what to do"?

Select correct option:

- Managing by hope
- **Managing by subjectives**

Question No:96

(Marks:1)

Vu-Topper RM

The cross training of employees for getting a better understanding of the whole business can create problems related to following issues EXCEPT:

Select correct option:

- Older employees may not want to learn new skills
- **Employees give worse ideas in planning session**

Question No:97**(Marks:1)****Vu-Topper RM**

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

- **Managing by hope**
- Managing by extrapolation

Question No:98**(Marks:1)****Vu-Topper RM**

The SMART goal criteria 'Relevant' suggests which one of the following?

Select correct option:

- Are you able to assess your progress?
- Do you know exactly what you want to accomplish?
- **Is your goal relevant towards your purpose in life?**
- What is the deadline for completing your goal?

Question No:99**(Marks:1)****Vu-Topper RM**

A system of several rites connected with a single occasion or event is known as:

Select correct option:

- Myth
- **Ceremonial**

Question No:100**(Marks:1)****Vu-Topper RM**

Selling includes all of the following marketing activities EXCEPT:

Select correct option:

- Advertising
- **Pricing**

Question No:101**(Marks:1)****Vu-Topper RM**

All of the following situations are conducive to market development EXCEPT:

Select correct option:

- **When an organization has excess production capacity**
- When an organization's basic industry is becoming rapidly global

Question No:102**(Marks:1)****Vu-Topper RM**

How a product appears in relation to other products in the market is referred as:

Select correct option:

- **Positioning**
- Marketing

Question No:103**(Marks:1)****Vu-Topper RM**

Departmentalization can be done on the basis of many factors

EXCEPT:

- Divisions
- **Number of employees**

Question No:104**(Marks:1)****Vu-Topper RM**

Which stage of the strategy-formulation framework focuses on generating feasible alternative strategies? Select correct option:

- Decision
- **Matching**

Question No:105 (Marks:1) Vu-Topper RM

ABC firm is facing high production costs in Pakistan due to expensive raw material. The firm is formulating a strategy of capturing European market because of low priced raw material and high demand of their products in Europe. Keeping in view the mentioned situation which of the following strategies ABC firm must pursue?
Select correct option:

- **WO Strategy**
- WT Strategy

Question No:106 (Marks:1) Vu-Topper RM

All of the following are the basic functions of marketing EXCEPT:
Select correct option:

- Marketing research
- **Arranging for finance**

Question No:107 (Marks:1) Vu-Topper RM

Assigning a rate=2 in IFE matrix indicates what?
Select correct option:

- A major weakness
- **A minor weakness**

Question No:108 (Marks:1) Vu-Topper RM

Of the following, which one would NOT be considered one of the components of a mission statement?
➤ The target market for XYZ is oil and gas producers as well as producers of chemicals

- **XYZ shall hire only those individuals who have with sufficient educational levels so as to be of benefit to our customers**

Question No:109 (Marks:1) Vu-Topper RM

Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

- Are the firm's products and services priced appropriately?
- **Does the firm have good liquidity?**

Question No:110 (Marks:1) Vu-Topper RM

Which stage of the "Strategy Formulation Framework" includes an External Factor Evaluation Matrix and a Competitive Profile Matrix?

- Input stage
- **Output stage**

Question No:111 (Marks:1) Vu-Topper RM

Financial ratios are helpful in analyzing the relationship among which of the following?

➤ **All functional areas of business**

➤ Sales and profitability

Question No:112

(Marks:1)

Vu-Topper RM

All of the following are included in the five functions of the management process EXCEPT:

➤ Leading

➤ **Delegating**

Question No:113

(Marks:1)

Vu-Topper RM

Which of the followings best describes the Horizontal integration?

➤ **A firm takes over a competitor**

➤ A firm takes over a manufacturer

Question No:114

(Marks:1)

Vu-Topper RM

All of the following would be considered as weaknesses to a business EXCEPT:

➤ **Brand name**

➤ Limited financial resources

Question No:115

(Marks:1)

Vu-Topper RM

In Competitive Profile Matrix, the rating 4 indicates what?

➤ Major weakness

➤ **Major strength**

Question No:116

(Marks:1)

Vu-Topper RM

Choose the economic variable from the list.

➤ Population changes by race

➤ **Stock market trends**

Question No:117

(Marks:1)

Vu-Topper RM

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

➤ **Firm is not taking advantages of opportunities and is not avoiding threats**

➤ Firm is taking advantage of opportunities and is avoiding the threats

Question No:118

(Marks:1)

Vu-Topper RM

Which of the following identified that "strategic management encourages forward thinking, favorable attitudes towards change and discipline to the management of business"?

➤ Greeley

➤ **Greenly**

Question No:119 (Marks:1) **Vu-Topper RM**

Which of the following can be the weakness of an organization?

➤ **Poor location of business**

➤ Innovative substitute product

Question No:120 (Marks:1) **Vu-Topper RM**

A joining of two companies through one company buying more than one half of the other company's stocks is known as:

➤ **An acquisition**

➤ A merger

Question No:121 (Marks:1) **Vu-Topper RM**

Assigning rating 3 to an internal factor in IFE matrix indicates what?

➤ **Minor strength**

➤ Major strength

Question No:122 (Marks:1) **Vu-Topper RM**

Which of the following is NOT included in the strategic management model?

➤ Measure and evaluate performance.

➤ **Perform internal research to identify customers.**

Question No:123 (Marks:1) **Vu-Topper RM**

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

➤ **Firm is not taking advantages of opportunities and is not avoiding threats**

➤ Firm is taking advantage of opportunities and is avoiding the threats

Question No:124 (Marks:1) **Vu-Topper RM**

Which management function includes breaking tasks into jobs, combining jobs to form departments and delegating authority?

➤ **Organizing**

➤ Planning

Question No:125 (Marks:1) **Vu-Topper RM**

Developing a vision and a mission statement is important because of the following reasons EXCEPT:

➤ **They are useful for large firms only**

➤ They establish organizational culture